Annex

Statement on the feedback received on draft Directions

Subject: Reserve Bank of India (Commercial Banks-Asset Classification, Provisioning and Income Recognition) Directions, 2026

The Reserve Bank had, on October 7, 2025, issued the draft Directions on "Asset Classification, Provisioning and Income Recognition" for Commercial Banks. Major feedback received and the comments thereon are summarized below:

1	**Paragraph 3:** These Directions shall come into effect from April 1, 2027 **Feedback:** More time may be given to enable banks to build databases and models, upgrade systems, etc. **RBI Comments: Not accepted**. Banks have been provided one year timeline to prepare their internal systems for implementation of the new framework. In addition, to ease the transition to the new framework, a calibrated transition framework has been provided, including transitional arrangement for one-time capital impact on account of ECL transition, three-year timeline for application of Effective Interest Rate (EIR) on legacy loan accounts and guidance provided on key implementation issues.
2	**Paragraph 4: Definitions** **Feedback:** Specific feedback has been received seeking clarity on few definitions given in the draft Directions. **RBI Comments: Partially accepted**, with modifications and clarifications added wherever deemed necessary. Select key feedback received are as under: **a. Paragraph 4(iii):** "Credit-impaired financial asset" refers to a financial asset characterized by objective evidence of impairment, resulting from events that materially reduce the likelihood of recovering the asset's contractual cash flows in full and/or on time**.** **Feedback:** The definition may be made more objective. The definition may be merged with that of NPA**.**

	RBI Comments: Not accepted. "Credit-impaired financial asset" refers to a financial asset characterized by objective evidence of impairment and includes "non-performing assets" (NPA). NPA classification is an objective and well-established framework that is widely understood and recognised by stakeholders, including lenders and borrowers. It is also embedded across multiple statutory and regulatory frameworks. In this context, omitting reference to NPA will not be feasible. **b. Definition of Corporate and Retail**: **Feedback:** Definition of term "corporate loans" used in prudential floor may be provided to ensure uniformity. **RBI Comments: Not accepted**. For prudential floors, the asset classes have been kept reasonably broad, using categories with shared risk characteristics. Anymore specificity would be overly rigid, reduce risk sensitivity, and constrain the discretion intended for banks under a principles-based framework.
3	**Paragraph 16:** While there may be various approaches to the calculation of ECL, a bank shall use a general approach consisting of three key functions i.e. Probability of Default (PD), Loss Given Default (LGD) and Exposure at Default (EAD), conforming to the instructions and principles outlined in these Directions. Chapter V of these Directions contain certain broad principles to be followed by a bank for ensuring prudence and robustness while using models in the process of ECL computation**.** **Feedback:** Detailed guidance on how to implement the framework may be provided. **RBI Comments: Not Accepted**. ECL framework is inherently principle-based and requires institution-specific risk assessment. Banks differ materially in terms of portfolio composition, business models, customer segments, data availability, etc., and therefore, a uniform and highly granular implementation framework will not be appropriate across all banks.

4	**Paragraph 17:** A bank shall initially measure and recognise financial assets such as loans in their books at fair value plus or minus transaction costs that are directly attributable to the acquisition or issue of the financial asset. **Feedback:** Fair valuation accounting may be applicable prospectively. Additional clarity may be provided on fair-valuation for loans, and treatment of gains/ loss arising from fair valuation on the date of transition. **RBI Comments: Partially accepted**. It has been clarified in the Directions that on the date of transition, any difference between the fair value of financial assets and their carrying value immediately preceding the transition date shall be adjusted against the balance of retained earnings. Further, in order to ease operational complexity in ascertaining fair value, it is also clarified that unless facts indicate that acquisition value is materially different from fair value, the carrying cost shall be presumed to be the best evidence of fair value.
5	**Paragraph 20**: Purchased or Originated Credit Impaired Assets (POCI) may be considered in Stage 1 at the time of initial recognition. **Feedback:** Globally, POCI are not considered in any of the stages and are considered a separate category and lifetime ECL is computed. Considering that these are credit-impaired assets, classification as Stage 1 may not be appropriate. **RBI Comments**: **Accepted**. The guidelines have been amended to clarify that POCI shall be treated as a separate category with recognition of lifetime ECL.
6	**Paragraph 38:** ECL for a financial instrument shall be computed using the EIR determined at initial recognition. **Feedback:** Whether the EIR approach would be followed prospectively from the transition date, i.e. April 1, 2027, on all assets. If it is to be applied retrospectively from the loan origination date, what approach can be followed **RBI Comments: Partially accepted.** The suggestion for prospective application of EIR has not been accepted. However, in order to ease the operational complexity, a timeline of three years is being provided to the banks for transition to EIR based income recognition for loans outstanding as on date of transition.

7	**Paragraph 41: Collateral:** In respect of Stage 3 financial instruments, for exposures beyond ₹5 crore, the collateral charged in favour of the bank shall be valued compulsorily once upon classification and thereafter every two years or lesser by the valuers appointed as per the bank's internal policy. **Feedback:** Limit of ₹5 crore may be enhanced to ₹7.50 crore. Further, two years may be enhanced to three years aligning it with current practices followed across industry. **RBI Comments: Partially accepted**. In consideration of the feedback received, the threshold amount of ₹5 Crore has been revised to ₹7.5 Crore. However, 2-year collateral revaluation frequency for Stage 3 exposures has been retained as it is appropriately aligned with the forward-looking LGD estimation requirements under the ECL framework.
8	**Paragraph 62**: In cases where a bank has more than one exposure to a borrower, and any one of the exposures moves to Stage 3, then the bank shall consider all exposures to that counterparty as a Stage 3 asset respectively. In other words, Stage 3 status shall be applied at the level of the borrower. **Feedback**: Clarity requested on whether Stage 2 classification shall be at borrower level or facility level. **RBI Comments**: **Accepted**. The guidelines have been amended to explicitly clarify that Stage 2 shall be at facility level, while Stage 3 classification shall be at borrower-level.
9	**Paragraph 63**: **Upgradation of accounts** **Feedback:** The cooling period of six months, in Stage 2 after rectification of all irregularities before transitioning back to Stage 1 from Stage 3 may be reduced or dispensed with. **RBI Comments: Accepted**. The guidelines have been amended to dispense with the mandatory requirement of placing accounts under Stage 2 for six months after rectification of all irregularities. Banks may upgrade accounts based on their assessment of the sustainability of the rectification of default/ stress in the exposures.

10	**Paragraph 64**: **Prudential Floors** **a. Feedback:** The Stage 1 prudential floors for "housing loans" category to be at 0.25% in line with the existing standard asset provisioning requirement and in view of lower loss in the segment. **RBI Comments: Accepted**. The floor for individual housing loans under Stage 1 is reduced to 0.25% in line with existing standard asset provisioning requirement. **b. Feedback:** May extend the NPA classification benefit provided to FD to that of loans against NSC, LIC, KVP etc**.** **RBI Comments: Partially Accepted.** The stage 2 floor for loans against NSC, LIC and KVP has been brought down to 0.4% which is at par with that of loan against FDs. However, the request for exemption from NPA classification is not being acceded to. **c. Feedback:** Provisioning floors for loans granted to organizations backed by State Govt may be kept lower than that of other organizations, given their relatively less risk. **RBI Comments: Accepted**. A separate floor category has been created containing exposures for direct lending to State Govt. and specific State Govt. guaranteed exposures, and a Stage 2 Floor at 2.5% has been prescribed. **d. Feedback:** Clarity regarding treatment of loans partially guaranteed under various Central Govt. Guarantee Schemes with regard to staging, applicability of floors etc. **RBI comments: Accepted.** For accounts guaranteed under the specified Trust schemes, a separate Stage 1 and Stage 2 floor of 0.25% is stipulated. Once the account gets downgraded to Stage-3, a differentiated prudential floor has been prescribed. **e. Feedback:** Alignment may be considered in the definitional aspects of real estate exposures between revised Basel credit standards and ECL Guidelines.

	RBI Comments: Accepted. For the purpose of prudential floors, broad alignment has been ensured between both the guidelines in the context of above-mentioned exposures.
11	**Paragraph 72: Regulatory Loss Given Default (LGD):** For loans or portion of loan secured by eligible collateral which act as credit risk mitigants in terms of Master Circular – Basel III Capital Regulations, a bank may use LGD of 45% if the same is not estimated internally. **Feedback:** To reduce the regulatory LGD stipulated, which may be applied by banks in the absence of internally derived values. **RBI Comments: Partially Accepted.** In view of the potentially better recovery prospects for loans secured by certain categories of eligible financial collateral such as cash, gold, securities issued by Central and State Governments, etc., a lower LGD of 30% may be applied by banks for loans or portion secured by such eligible collateral.
12	**Paragraph 73: Exposure at Default (EAD)**: A bank shall properly estimate EAD, for the purpose of computation of ECL, based on the behavior of the financial instrument in the past and future macroeconomic projections. **Feedback**: Clarity requested on methodology, including the time period, to compute EAD. Clarity also requested on whether Credit Conversion Factors (CCFs) can be used to compute EAD. **RBI Comments**: **Partially Accepted**. In view of the difficulty expressed in computation of EAD, a regulatory backstop in the form of CCF has been prescribed. However, in a principle-based framework, it may not be feasible to provide granular guidance on the methodology for computation of EAD.
13	**Paragraph 74: Additional provisions in Specific cases:** a. **Feedback: Provisioning requirements for derivative exposures**: Credit exposures computed as per the current marked-to-market value of the contract, arising on account of the interest rate & foreign exchange derivative transactions, credit default swaps and gold, shall attract provisioning requirements as applicable to the loan assets in the 'standard' category, of the concerned counterparties.

	RBI Comments: Accepted. It has been clarified that transactions under FVTPL do not come under the purview of ECL. b. **Feedback: Provisions for Country risk, Credit facilities to overseas step-down subsidiaries of Indian corporates and Unhedged Foreign Currency Exposure -** Such additional provision may be dispensed with, as it may entail double counting. **RBI Comments: Accepted**. Explicit stipulation of additional provisions on account of the above-mentioned exposures has been dispensed with; however, banks have been advised to consider appropriately these risks in their PD and LGD computation.
14	**Paragraph 78**: The transitional adjustment amount, i.e., the difference between the ECL required as on April 1, 2027 (computed based on the balance sheet position as on March 31, 2027), and the provisions held as per the extant IRACP norms as on March 31, 2027, may, at the option of the bank, be added back to the Common Equity Tier 1 (CET 1) capital. This benefit shall be provided till March 31, 2031, as per the table below. A bank may choose to spread the transition over a shorter period. **Feedback**: Guidelines may clearly specify that the difference between the required ECL and the extant IRACP norms may be directly taken to general reserves, without routing the same through Profit and Loss Account. **RBI Comments**: **Accepted**: The guidelines have been amended to clearly specify that the difference in the provisioning shall not be routed through Profit and Loss Account.
15	**Paragraph 84**: **Income Recognition:** The amount of interest revenue accrued for Stage 3 financial assets shall be debited to Profit and Loss Account as an additional ECL provision. **Feedback:** This will have undue tax implications and there is nil impact on Profit and Loss Account. Hence, recognition of Stage 3 interest may be continued as per existing norms i.e. on actual receipt basis

	RBI Comments: **Accepted**. The paragraph has been modified to state that banks shall not accrue interest income on Stage 3 assets i.e. interest income shall be recognized only on cash basis.
16	**Paragraph 94:** ...Post-model adjustments (PMAs) or management overlays shall address model limitations, supported by qualitative reasoning and a consistent governance framework. PMAs shall be documented, including justification, calculation criteria, and validation triggers, and validated proportional to their materiality, assessing relevance, assumptions, and root causes of deficiencies. **Feedback:** Clarity requested on criteria differentiation between management overlays and post-model adjustments. Clarity also requested on the governance related aspects for the adjustments. **RBI Comments**: **Partially Accepted**. In a principle-based framework, it may not be desirable to provide detailed guidance on such granular aspects. However, considering the clarification sought, it has been clarified that such aspects shall be managed by Board or a designated sub-committee of the Board.